

The list goes on and on. These guys are all billionaires.

Here's Matt: "Murray and I were batting ideas around one day and we said, 'Wouldn't it be cool if you could invest in some of these wealth lists like the Forbes 400? I wonder what it would look like.' And that's kind of how we got started."

The Wealth Index was the result and is what the fund seeks to mimic.

To get in the index, owner-operators must have assets in excess of \$500 million and ownership in excess of \$100 million. Applying this filter leaves 148 owner-operators with proven track records. Building this list was not easy — and perhaps that explains the fund's uniqueness.

Usually, people create funds and indices around easily quantifiable datapoints, such as by price-earnings ratio, or sector or country. These kinds of things you can easily download from any decent data provider. The Wealth Index was more difficult to put together.

"It took quite a bit of time," Matt said.

We were actually in the New York Public Library going through microfiche looking for wealthy individuals going back to the early '80s. And then every quarter, we took time to comb through SEC filings, proxies and Form 4s. It was very manually intensive.

The operator is very important. In this age of over quantifying everything, we lose sight of the fact that it really comes down to the people running the business. It's not about the P/E or the historic earnings growth necessarily.

Several stocks don't make the index simply because they are too small. But Matt told me there may soon be an index to capture these smaller owner-operators.

"We've actually toyed around with the idea of a smaller-cap version of the Wealth Index to capture those individuals on the up and up, as opposed to those individuals that have already made it," Matt said. "Something like a Berkshire Hathaway is appealing. ... But it is mature. And Warren Buffett is coming to the end of his career. Are his incentives the same as an Einhorn or an Ackman? No, they're not. So I